

fund the same way as my personal account, and I didn't want to start off too large.

Can you give me an example of the types of trades you did in your original fund, which had a special situations focus?

One interesting example was a Marriott spinoff. Marriott got caught in the real estate downdraft of the early 1990s. Marriott's primary business was hotel management, and they got stuck owning a lot of the underlying hotels, which they usually try to sell off. So they spun off the hotels and the debt that accompanied the hotels into a new company, Host Marriott, and kept the good business, Marriott International. The main business—the hotel management—was actually a Buffett type of business, and it was being relieved of all of its debt. So it was a very clever transaction. But what I was most attracted to was what I call the *toxic waste* of the transaction, Host Marriott, which was the heavily leveraged, out-of-favor part of the business that no one wanted at the time.

What attracted you to it?

The first thing that attracted me to it was that it was clearly unwanted by anyone who could read either the newspaper or a balance sheet. I thought no one else was going to pay any attention to it because it looked so ugly, so it might be fertile ground for me to explore. Also, I thought institutions would likely sell off their shares in the spinoff because it represented only 10 to 15 percent of the original company and would probably be too small a cap size for them to hold. The spinoff was also in a different business. Most people investing in the parent, Marriott International, were interested in the hotel management business, so they would discard Host Marriott, which was in a different business, hotel ownership. The lack of new buying interest and the likelihood that many of the Marriott shareholders would sell off their shares in the spinoff meant that there was a good chance that Host Marriott would end up being undervalued. It certainly meant it was worth taking a close look at.

So what did you find?

I found that insiders had a large stake in the spinoff. The guy who masterminded the spinoff was actually going to run the "bad business." It didn't make sense that he would choose to go with the spinoff if it was